

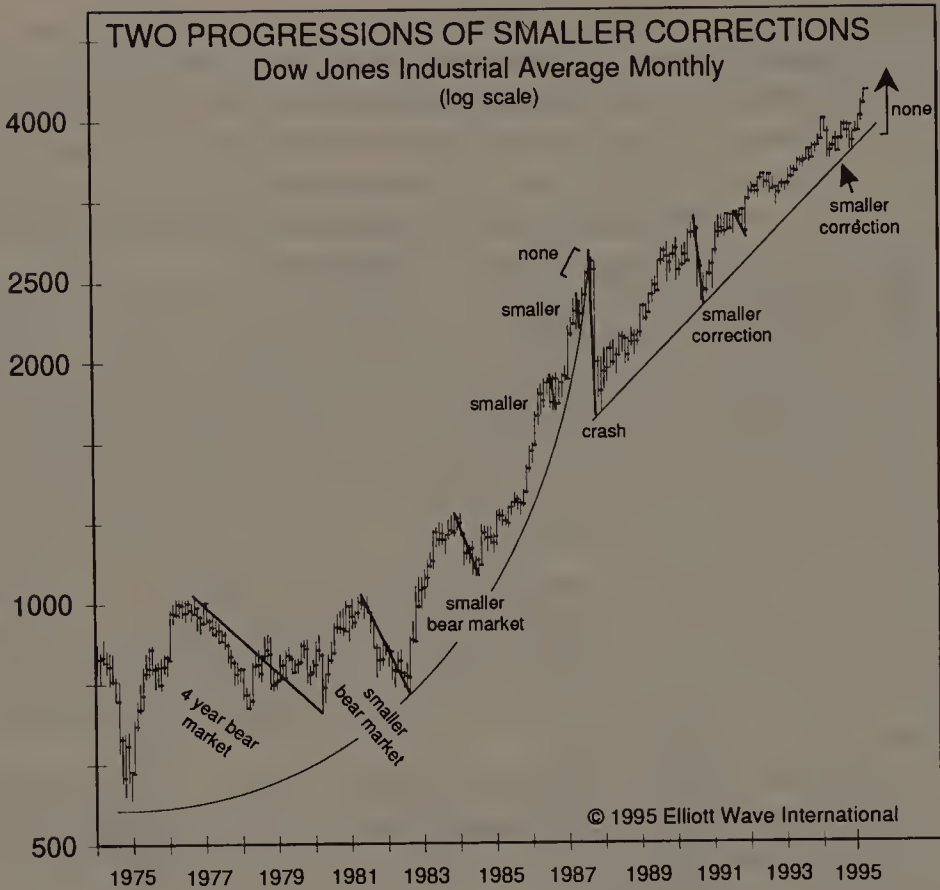


Figure 9-11

there was a correction of 9.7%. The latest rise has been so persistent that since March 7, there has been no close-to-close correction bigger than $\frac{4}{10}$ of 1%! If the Dow continues in this manner past May 15, it will set a record for its entire century-plus long history. The phenomenon of 1974-1987, then, is repeating. Whether it ends now or after a pullback and final rally, the resolution should be a bear market.

Another aspect of this phenomenon is revealed by a subtle indicator called "urgent selling." In 1978, the late stock market historian and analyst James Alphier developed a study of periods of persistent negative breadth, specifically, periods of fifteen or more trading days within which there were more stocks down than up on at least twelve days. Urgent selling is normally quite common and has occurred one or more times in 51.6% of the years within this century. Moreover, he found that the few extended periods that